

Pivot Analysis

Crypto -> Indian equities: what transfers, tax, the 11x correction. 8 Oct 2026.

Should the work pivot from crypto to Indian equities? Short answer: the discipline, statistics, risk framework and engineering all transfer. The crypto edge, the Binance data, the funding mechanics and the 24/7 assumption do NOT.

1. What transfers vs what does not

Asset	Transfers?	Notes
Risk framework (1-3% risk, caps)	YES	broker-agnostic, the core asset
Stats discipline (CI, null, walk-forward)	YES	same method, new data
Lab / simulate / metrics engine	YES (port)	re-skin bars to NSE daily
Ledger + wallet accounting	YES (port)	reuse the cycle/sweep logic
Engineering (tests, CI, ledger)	YES	carry the habits
The crypto edge itself	NO	re-validate from scratch on NSE
Binance data + funding mechanics	NO	NSE has no funding rate
24/7 trading assumption	NO	NSE is 09:15-15:30 IST, T+1

2. Tax: F&O vs crypto VDA (India)

Rule	Indian F&O / equity	Crypto (VDA)
Tax on gains	Slab / STCG-LTCG rates	30% flat
Loss set-off	Allowed (business/capital)	NOT allowed
Expense deduction	Allowed (business income)	NOT allowed
TDS	None on gains	1% TDS on every sell

Structurally F&O/equity is friendlier than crypto VDA. But at the Rs5k-50k scale this is a rounding error. Do not pivot FOR tax - pivot only if the Indian edge proves better.

3. The leverage correction

CORRECTION: 11x intraday leverage is NOT available. Under SEBI peak-margin rules (mandatory since Sep 2021), intraday equity leverage is capped at 5x (20% margin) across ALL brokers, Zerodha included. 11x is outdated marketing or a different product. Design the plan for the 5x regulatory cap.

4. Recommendation

- Do not abandon crypto mid-forward-test. Let cycle 2 finish and give an out-of-sample verdict.
- In parallel, build the Indian equity engine (this plan) on daily bars - the natural swing TF.
- Re-validate every edge on NSE data from scratch. Assume nothing carries over until proven.
- Keep both paper-only until each passes its own go-live gate.